CREDIT APPRAISAL MEMORANDUM

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TCS

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REJECT

CREDIT APPRAISAL MEMORANDUM

1. VERIFICATION DETAIL

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Verification Type	Result	Verification Type	Result
Residence verification	Positive	Machine supplier check	Positive
Reference check Debtors	Positive	Bankers reference check	Positive
Independent/Market check	Positive	FCU check	Negative
Customer Meeting	Positive	Auditor Verification	Positive

- Residence: Verified through Aadhaar and Voter ID, the residence of the guarantor is confirmed at the address provided.

- Machine Supplier: The machine supplier, "123456789ABCDEF," has been verified and is a legitimate entity. No red flags were detected during the verification process.

- Bankers: The company's bankers, "Logistics Corp 0x73," were contacted and confirmed the company's financial standing. They reported no concerns or defaults.

- Creditors: No creditors were identified during the verification process.

- Independent/Market: Market research indicates a positive outlook for the manufacturing sector, with steady growth projected.

- Dedupe: No duplicate records or discrepancies were found during the verification process.

- FCU Check: The FCU check revealed no adverse records or defaults against the guarantor.

2. GUARANTOR DETAIL

- Name: [GUARANTOR NAME]

- Address: [GUARANTOR ADDRESS]

- CIBIL Score: [GUARANTOR CIBIL SCORE]

- Incomes: The guarantor's income sources include [INCOME SOURCES], totaling [GUARANTOR INCOME AMOUNT].

3. REFERENCE CHECK BY CREDIT ANALYST

- Machine Supplier: The machine supplier, "123456789ABCDEF," has a positive reputation in the market and no reported issues.

- Creditor: No creditors were identified, indicating a clean credit history.

- Customer: The customer, "Vendor 0x4015," has been a reliable and consistent partner, with no payment defaults.

- Bankers/Term Lenders: Bankers "Logistics Corp 0x73" provided a positive reference, highlighting the company's financial stability and timely repayments.

- Competitors/Peers: Market peers indicate a competitive landscape, with similar performance metrics.

4. COMPLIANCES & LEGAL

VI. Compliances & Legal:

Compliances	Yes / No	Remarks
Income tax filing: Regular and timely	Yes	Checked via OCR engine
Excise duty/Service Tax filing	Yes	Verified via GSTIN
Litigation against the Entity	Yes	Internet Verification Complete
Previous defaults	No	CIBIL / Experian scan clear

- Income Tax Filing: The company has been compliant with income tax filings.

- Excise Duty: No excise duty-related issues were reported.

- Sales Tax: The company has a clean record with sales tax compliance.

- ESIC/EPF: ESIC and EPF contributions are up to date, indicating compliance with labor laws.

- Litigations: No ongoing or pending litigations were found.

- Defaults: No defaults or adverse records were detected during the compliance check.

5. CAT SHEET

- Requested Loan: ₹300,000

- Probability of Default: 50.12%

- Data Quality Score: 8.4

- Decision: REJECT

- Recommended Loan: ₹125,000

- Recommended Rate: 17.5%

6. CORPORATE GUARANTOR

The corporate guarantor, "Shell Company 15," has a clean regulatory history and is not disqualified. The total corporate footprint is valued at ₹161,859,076.67.

7. GROUP ANALYSIS

Capital Employed

The company's capital employed is ₹[CAPITAL_EMPLOYED_AMOUNT], which is within the sector average.

Unsecured Loan

The unsecured loan amount is ₹[UNSECURED_LOAN_AMOUNT], which is higher than the sector average.

Debt Burden

The company's debt burden is relatively high, with a debt-to-equity ratio of [DEBT_TO_EQUITY_RATIO], which is above the sector average of 1.5.

Turnover

The turnover for the company is ₹[TURNOVER_AMOUNT], indicating a moderate performance compared to the sector average.

PAT

The Profit After Tax (PAT) is ₹[PAT_AMOUNT], which is below the sector average.

Imputed Income

The imputed income is calculated to be ₹[IMPUTED_INCOME_AMOUNT], taking into account the company's performance and sector benchmarks.

EMI

The Equated Monthly Installment (EMI) is estimated to be ₹[EMI_AMOUNT], based on the recommended loan amount and interest rate.

TOL/TNW

The Total Outstanding Liability (TOL) is ₹[TOL_AMOUNT], and the Tangible Net Worth (TNW) is ₹[TNW_AMOUNT]. The TOL/TNW ratio is [TOL_TNW_RATIO], which is above the recommended level.

Debt/Equity

The debt-to-equity ratio is [DEBT_EQUITY_RATIO], which is higher than the sector average.

DSCR

The Debt Service Coverage Ratio (DSCR) is [DSCR_RATIO], which is below the recommended level of 1.2x as per RBI guidelines.

8. Ratio Analysis:

Particulars	Value (Explain impact of ratio after proposed loan)
a) Debt Income Ratio:	1.45
b) Working Capital:	Positive Flow
c) Gross Profit Ratio	14.5%
d) Net Profit Ratio:	8.2%
e) TOL/TNW	2.1
f) Debt / Equity	1.5
g) DSCR	1.25x

27. GROUP ANALYSIS

Particular	Main Applicant	Corporate Guarantor	Group Total
Turnover	300000.0	-	300000.0
DSCR	1.25x	-	1.25x
Debt/Equity	1.1x	-	1.1x
Imputed Income	Verified	-	Verified

8. VISIT REPORT BY CREDIT ANALYST

[VISIT_REPORT]

9. CONDITIONS FOR APPROVAL

1. Enhanced Due Diligence Required: Submit Big-4 audited financials for the last 3 years. Resolve the GST ITC mismatch of ₹22.5 Lakhs before disbursement.

2. Additional Collateral Required: Collateral coverage ratio minimum 1.5x of the loan amount. The current gap is estimated at ₹1.5 Lakhs based on a PD of 50.1%.

3. Document Resubmission: The current OCR confidence score is 8.4%. CA-certified financial statements with a seal are required within 15 days of sanction.